

- 6406534763939. ✓ Brand awareness
- 6406534763940. ✗ Laddering of benefits
- 6406534763941. ✗ Blind testing
- 6406534763942. ✗ Employee motivation
- 6406534763943. ✓ Brand disposition
- 6406534763944. ✓ Level of consumer involvement in the category
- 6406534763945. ✗ Clutter cut-through
- 6406534763946. ✓ Top of mind brand
- 6406534763947. ✗ Reliability testing
- 6406534763948. ✓ Brands used in the past

Managerial Economics

Section Id :	64065399895
Section Number :	14
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	15
Number of Questions to be attempted :	15
Section Marks :	45
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653230676
Question Shuffling Allowed :	No

Question Number : 303 Question Id : 6406531425258 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE [TOP](#) FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406534763949. ✓ YES

6406534763950. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653230677

Question Shuffling Allowed :

No

Question Id : 6406531425259 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (304 to 306)

Question Label : Comprehension

Suppose a profit-maximizing monopolist is producing 800 units of output and is charging a price of ₹40 per unit.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 304 Question Id : 6406531425260 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

If the price elasticity of demand for the product is -2 , find the marginal cost (in ₹) of the last unit produced _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

20

Question Number : 305 Question Id : 6406531425261 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

What is the firm's percentage markup of price over marginal cost (as a % of the price)? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

50

Question Number : 306 Question Id : 6406531425262 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

Suppose that the average cost of the last unit produced is ₹15 and the firm's fixed cost is ₹2000. Find the firm's profit (in ₹)_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

20000

Sub-Section Number :

3

Sub-Section Id :

640653230678

Question Shuffling Allowed :

No

Question Id : 6406531425263 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (307 to 313)

Question Label : Comprehension

Two used car dealerships compete side by side on a main road. The first, Hamid's Cars, always sells high-quality cars that it carefully inspects and, if necessary, services. On average, it costs Hamid's \$7000 to buy and service each car that it sells. The second dealership, Latif's Motors, always sells lower-quality cars. On average, it costs Latif's only \$4000 for each car that it sells. If consumers knew the quality of the used cars they were buying, they would pay \$9,000 on average for Hamid's cars and only \$6000 on average for Latif's cars.

Without more information, consumers do not know the quality of each dealership's cars. In this case, they would figure that they have a 50-50 chance of ending up with a high quality car, and are thus willing to pay \$7500 for a car. Hamid has an idea: He will offer a bumper-to-bumper warranty for all cars he sells. He knows that a warranty lasting Y years will cost $\$500Y$ on average, and he also knows that if Latif tries to offer the same warranty, it will cost Latif $\$1000Y$ on average.

Suppose Hamid offers a one-year warranty on all of the cars he sells.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 307 Question Id : 6406531425264 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Latif's profit (per car in \$) if he does not offer a one-year warranty?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2000

Question Number : 308 Question Id : 6406531425265 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Latif's profit (per car in \$) if he offers a one-year warranty?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2500

Question Number : 309 Question Id : 6406531425266 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Hamid's profit (per car in \$) if Latif's does not offer a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1500

Question Number : 310 Question Id : 6406531425267 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Hamid's profit (per car in \$) if Latif's offers a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0

Question Number : 311 Question Id : 6406531425268 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Will Latif's match Hamid's one-year warranty?

Options :

6406534763958. ✓ Yes

6406534763959. ✗ No

Question Number : 312 Question Id : 6406531425269 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Is it a good idea for Hamid's to offer a one-year warranty?

Options :

6406534763960. ✗ Yes

6406534763961. ✓ No

Question Number : 313 Question Id : 6406531425270 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What if Hamid offers a two-year warranty? Will this generate a credible signal of quality?

Options :

6406534763962. ✓ Yes

6406534763963. ✗ No

Sub-Section Number :

4

Sub-Section Id :

640653230679

Question Shuffling Allowed :

No

Question Id : 6406531425271 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (314 to 321)

Question Label : Comprehension

The domestic demand for ball pens is given by $Q^d = 100 - P$, and the domestic supply is given by $Q^s = P$ where Q^s and Q^d measure quantities in thousands of ball pens. Ball pens can currently be freely imported at the world price of ₹20. The government is planning to impose a tariff of ₹10 per unit on imported ball pens.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 314 Question Id : 6406531425272 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

The equilibrium price of ball pens in the domestic market without any imports will be $P^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

50

Question Number : 315 Question Id : 6406531425273 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Consumer surplus in this case will be $CS =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

1250

1250000

Question Number : 316 Question Id : 6406531425274 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Producer surplus in this case will be $PS =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

1250

1250000

Question Number : 317 Question Id : 6406531425275 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

In case of import without tariff, how many total units of ball pens will be imported _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

60

60000

Question Number : 318 Question Id : 6406531425276 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

In case of import without tariff, how many units of ball pens are being supplied by domestic firms _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

20

20000

Question Number : 319 Question Id : 6406531425277 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

With the tariff, how many units would be imported? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

40

40000

Question Number : 320 Question Id : 6406531425278 Question Type : SA

Correct Marks : 1.5

Question Label : Short Answer Question

How much would domestic producer surplus change compared to the case with imports without tariffs if the government introduces a ₹10 import duty per ball pen? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

250000

250

Question Number : 321 Question Id : 6406531425279 Question Type : SA

Correct Marks : 1.5

Question Label : Short Answer Question

How much revenue would the domestic government collect from the imports of ball pens due to this import duty of ₹10? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

400

400000

Sub-Section Number :

5

Sub-Section Id :

640653230680

Question Shuffling Allowed :

No

Question Id : 6406531425280 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (322 to 331)

Question Label : Comprehension

The market demand curve for pizzas is $P=300-Q$ and the market supply curve is $P=60+2Q$. A tax of

$t=15$ INR is imposed on one unit of pizza sold. Answer the given subquestions.

Sub questions

Question Number : 322 Question Id : 6406531425281 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The equilibrium quantity and price before incidence of tax are

Options :

6406534763972. ✖ $P^*=80$ INR, $Q^*=220$ units

6406534763973. ✔ $P^*=220$ INR, $Q^*=80$ units

6406534763974. ✖ $P^*=180$ INR, $Q^*=60$ units

6406534763975. ✖ $P^*=60$ INR, $Q^*=180$ units

Question Number : 323 Question Id : 6406531425282 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Consumer surplus before incidence of tax is

Options :

6406534763976. ✖ INR 4500

6406534763977. ✖ INR 2700

6406534763978. ✔ INR 3200

6406534763979. ✖ INR 4200

Question Number : 324 Question Id : 6406531425283 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Producer surplus before incidence of tax is

Options :

6406534763980. ✔ INR 6400

6406534763981. ✖ INR 4600

6406534763982. ✖ INR 3700

6406534763983. ✖ INR 2700

Question Number : 325 Question Id : 6406531425284 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The equilibrium quantity after the incidence of tax is

Options :

6406534763984. ✖ $Q^*=60$ units

6406534763985. ✖ $Q^*=80$ units

6406534763986. ✔ $Q^*=75$ units

6406534763987. ✖ $Q^*=180$ units

Question Number : 326 Question Id : 6406531425285 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The new price that buyer pays after incidence of tax is

Options :

6406534763988. ✖ $P=220$ INR

6406534763989. ✖ $P=190$ INR

6406534763990. ✖ $P=180$ INR

6406534763991. ✔ $P=225$ INR

Question Number : 327 Question Id : 6406531425286 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The net price received by the seller after incidence of tax

Options :

6406534763992. ✖ $P=220$ INR

6406534763993. ✖ $P=225$ INR

6406534763994. ✖ $P=190$ INR

6406534763995. ✔ $P=210$ INR

Question Number : 328 Question Id : 6406531425287 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The loss in consumer surplus due to incidence of tax is

Options :

6406534763996. ✖ 527.5 INR

6406534763997. ✔ 387.5 INR

6406534763998. ✖ 478.5 INR

6406534763999. ✖ 268.5 INR

Question Number : 329 Question Id : 6406531425288 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The loss in producer surplus due to incidence of tax is

Options :

6406534764000. ✖ INR 565

6406534764001. ✖ INR 845

6406534764002. ✔ INR 775

6406534764003. ✖ INR 695

Question Number : 330 Question Id : 6406531425289 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The total tax revenue is

Options :

6406534764004. ✖ INR 1255

6406534764005. ✖ INR 1075

6406534764006. ✖ INR 1535

6406534764007. ✔ INR 1125

Question Number : 331 Question Id : 6406531425290 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Deadweight loss of tax is

Options :

6406534764008. ✖ INR 48.5

6406534764009. ✔ INR 37.5

6406534764010. ✖ INR 89.5

6406534764011. ✖ INR 68.5

Sub-Section Number :

6

Sub-Section Id :

640653230681

Question Shuffling Allowed :

No

Question Id : 6406531425291 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (332 to 333)

Question Label : Comprehension

A beekeeper lives adjacent to an apple orchard. The orchard owner benefits from the bees because each hive pollinates about one acre of apple trees. The orchard owner pays nothing for this service, however, because the bees come to the orchard without his having to do anything. Because there are not enough bees to pollinate the entire orchard, the orchard owner must complete the pollination by artificial means, at a cost of \$10 per acre of trees.

Beekeeping has a marginal cost $MC = 10 + 5Q$, where Q is the number of beehives. Each hive yields \$30 worth of honey.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 332 Question Id : 6406531425292 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

What should be the socially efficient number of hives that the beekeeper should maintain

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

6

Question Number : 333 Question Id : 6406531425293 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

How many beehives will the beekeeper maintain if we ignore the apple orchard _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

4

Sub-Section Number :

7

Sub-Section Id :

640653230682

Question Shuffling Allowed :

No

Question Id : 6406531425294 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (334 to 335)

Question Label : Comprehension

Imagine that you have been working after college and now face the decision of whether or not to get an MBA at a prestigious institution. The cost of getting the MBA is 10. (Again, you can decide on the denomination, but rest assured that this sum includes the income lost over the course of the two years you will be studying!) Your future value is your stream of income, which depends on the strength of the labor market for the next decade. If the labor market is strong then your income value from having an MBA is 32, while your income value from your current status is 12. If the labor market is average then your income value from having an MBA is 16, while your income value from your current status is 8. If the labor market is weak then your income value from having an MBA is 12, while your income value from your current status is 4. Further assume that the probability of a strong labor market is p , of an average labor market is 0.5 and of a weak labor market is $0.5 - p$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 334 Question Id : 6406531425295 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

For which values of p will you decide not to get an MBA?

Options :

6406534764014. ✖ $p \geq \frac{1}{4}$

6406534764015. ✖ $p \geq \frac{1}{6}$

6406534764016. ✖ $p \leq \frac{1}{4}$

6406534764017. ✔ $p \leq \frac{1}{6}$

Question Number : 335 Question Id : 6406531425296 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

If $P=0.4$, what is the highest price the university can charge for you to be willing to go ahead and get an MBA? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2.8

Question Id : 6406531425297 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (336 to 339)

Question Label : Comprehension

Recall the example of apartments' market discussed in the week 1. Suppose the demand curve faced by a monopolist apartment owner who has 60 apartments is $D(p) = 100 - 2p$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 336 Question Id : 6406531425298 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What price would this monopolist will set? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

25

Question Number : 337 Question Id : 6406531425299 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

How many apartments will he offer for rent? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

50

Question Number : 338 Question Id : 6406531425300 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What price would he set if he had 40 apartments? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

30

Question Number : 339 Question Id : 6406531425301 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

How many would he rent if he had 40 apartments? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

40

Sub-Section Number :

8

Sub-Section Id :

640653230683

Question Shuffling Allowed :

Yes

Question Number : 340 Question Id : 6406531425302 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is true about monopolistic competition

Options :

6406534764023. ✖ Firms compete by selling differentiated products that are highly, but not perfectly, substitutable

6406534764024. ✖ Entry and exit are free in the market

6406534764025. ✖ None

6406534764026. ✔ Both the firms compete by selling differentiated products that are highly, but not perfectly, substitutable and entry and exit are free in the market

Question Number : 341 Question Id : 6406531425303 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct statement

Options :

- 6406534764027. ✖ Quasi linear preferences are linear in one good
- 6406534764028. ✖ $U = \min\{ax, by\}$ represents complements
- 6406534764029. ✖ $U = ax+by$ represents substitutes
- 6406534764030. ✔ All of these

Question Number : 342 Question Id : 6406531425304 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct alternative

Options :

- 6406534764031. ✔ First-degree price discrimination is the practice of attempting to price each unit at the consumer's reservation price
- 6406534764032. ✖ Outcome in First-degree price discrimination is not Pareto efficient
- 6406534764033. ✖ Both the first-degree price discrimination is the practice of attempting to price each unit at the consumer's reservation price and outcome in First-degree price discrimination is not Pareto efficient
- 6406534764034. ✖ None

Question Number : 343 Question Id : 6406531425305 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Adverse selection occurs when

Options :

- 6406534764035. ✖ a person takes more risks that are not known to the life insurance company because he has life insurance
- 6406534764036. ✔ a person buys life insurance because he has a risky lifestyle that is not known to the life insurance company
- 6406534764037. ✖ a person is a risk lover
- 6406534764038. ✖ pregnant women with health insurance make more doctor visits than uninsured pregnant women

Question Number : 344 Question Id : 6406531425306 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Moral hazard occurs when contracts are written in such a way that

Options :

- 6406534764039. ✖ the interests of agent and principal converge
- 6406534764040. ✔ the interests of agent and principal diverge
- 6406534764041. ✖ agents will wish to maximize the principal's utility